

European Luxury Goods & Specialty Retail

The Luxury Data Handbook: July '26

In this second edition of our handbook we look at data to: 1/ test our expectations ahead of Q2; 2/ assess mid-term expectations; and 3/ flag data points that may indicate a change in the status quo. We think Q2 will feature weak domestic Chinese consumption, strength in US and Korea, worse ME.

Our data report assesses 2Q trends, tests our mid-term assumptions (4% sector growth) and highlights potential signals of changes in trends. We highlight: 1/ slowing indicators of domestic Chinese consumption (retail sales, Hainan duty-free sales, Macau GGR); 2/ slowing American tourists into Europe but accelerating domestic US consumption; 3/ strong trends in Korea, offsetting a sequentially worse ME. On our proprietary indicators, we flag no major global price increase between June and July, and still accelerating US credit card spending.

 **Luxury Data Handbook - July '26 Chart Pack**

What do we expect for the Q2 reporting season? Acceleration to 4.7% cFX growth for our coverage, driven by the US and Korea. Looking at 2Q26, we expect our coverage to grow 4.7% on an organic basis, slightly above BBG cons. at 4.3% and accelerating vs 1Q26 at 3.5%. Our estimates range from Richemont Jewellery Maisons at 16% to Gucci at -5%, highlighting the still dominant polarisation in the sector. We are above consensus on Richemont (which we recently placed on [catalyst alert](#) ahead of the print) and below consensus on Gucci. We expect the acceleration to come from the US and Korea, more than offsetting a sequentially tougher ME. Looking at the rest of the year, consensus expects a c.180bp acceleration vs the first half, while we only expect c.110bp ([Figure 3](#)).

What is the data telling us about Q2? Overall, the data continues to support a sequential acceleration vs. Q1, driven by: 1/ Jewellery (HSD to LDD pricing taken since Q2 last year, [Figure 15](#)); 2/ US (Barclaycard data accelerating to 16% from 6% in 1Q26, [Figure 13](#)), as wealth and consumer sentiment determinants remain supportive; and 3/ Korea (luxury spending at department stores continues to accelerate, Chinese tourist inflows still significant, [Figures 7-8](#)). We think these factors will more than offset: 1/ still weak domestic Chinese consumption (retail sales, Hainan duty-free sales and Macau GGR all slowing down in recent months, [Figures 4-5](#)); 2/

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Please see analyst certifications and important disclosures beginning on page 9.

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weak tourist traffic into Europe (American tourists into Europe down y/y in June and decelerating in Q2, traffic with APAC in European airports decelerating, [Figures 10-12](#)); 3/ sequentially tougher ME (offshore ME spending likely rebounding, but onshore traffic should be an incremental negative, given the incidence of the conflict for the entirety of Q2 vs only March in Q1).

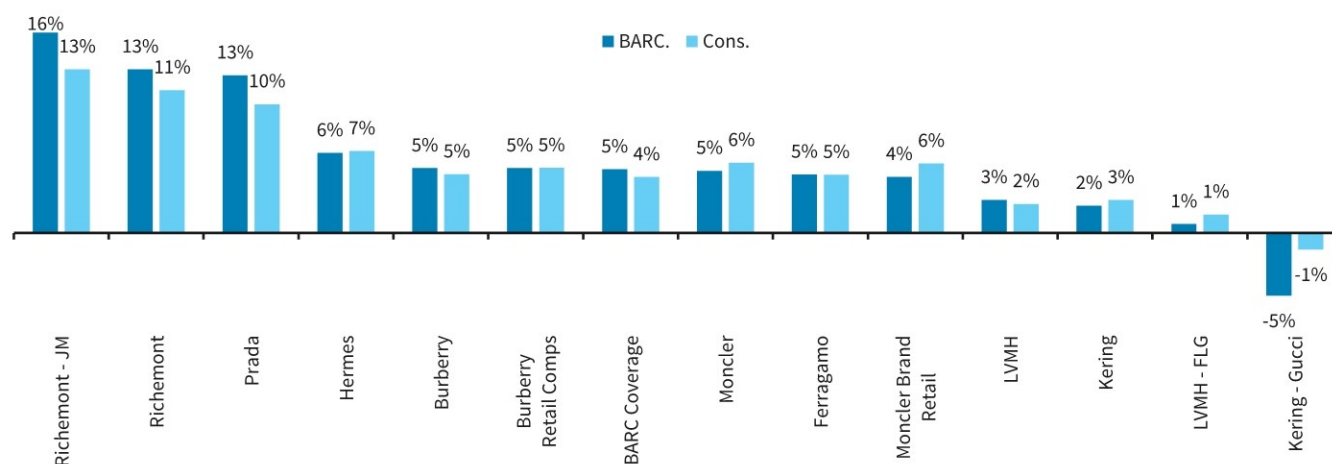
What are we keeping our eyes on? Once again, we flag diverging **relative valuations** within the sector, with Richemont becoming more and more expensive, and Hermes getting cheaper, prompting us to keep a close eye on changes in their risk-reward profiles ([Figures 16-17](#)). On the data side, **Chinese retail sales for Jewellery** were down sharply in April and May, mainly the result of tough comps, which is why we would now expect a stronger print in June. Finally, we will keep monitoring **price increases from luxury brands**, and jewellery in particular ([Figure 15](#)). These have outpaced soft-luxury peers, providing a short-term tailwind on the one hand, but eroding the relative attractiveness of jewellery from a value standpoint (a major driver of recent category strength) in the medium term.

Setting the scene: what are we expecting for Q2?

Looking at 2Q26, we expect our coverage to grow 4.7% on an organic basis, slightly above BBG cons. at 4.3% and accelerating vs 1Q26 at 3.5%. Our estimates range from Richemont Jewellery Maisons at 16% to Gucci at -5%, highlighting the still dominant polarisation in the sector. We are above consensus on Richemont (which we recently placed on [catalyst alert](#) ahead of the print) as we see no reason to expect a sequential deceleration vs calendar Q1. We are below consensus on Gucci, where we expect -5% organic growth in the second quarter, which, if materialising, would require Gucci to grow at least 6-7% in the second half to achieve positive organic growth in the FY.

Talking about the rest of the year, current consensus numbers for 2Q26 imply a c.180bp acceleration vs the first half, with the strongest acceleration implied at Gucci (almost 1,000bp) which is also the main difference vs our implied H2 numbers (we expect 110bp acceleration at the coverage level, 670bp at Gucci). The strongest deceleration, on the other hand, is expected at Richemont Jewellery Maisons, but we think this might change as H2 numbers could be revised upwards should the company beat at its Q1 results.

FIGURE 1. We are above consensus at Richemont JM, and below consensus at Gucci



Calendar 2Q26 %cFX growth rates
Source: Barclays Research, Bloomberg

FIGURE 2. We are slightly above consensus on 2Q26

% Organic Growth	Reported	Q3-25	Q4-25	Q1-26	BARC	Cons.	vs Cons.
					Q2-26	Q2-26	Q2-26
LVMH	-4.0%	1.0%	1.0%	1.0%	2.6%	2.3%	31bp
LVMH - FLG	-9.0%	-2.0%	-3.0%	-2.0%	0.7%	1.5%	-77bp
Kering	-15.0%	-5.0%	-3.0%	0.0%	2.2%	2.6%	-40bp
Kering - Gucci	-25.0%	-14.0%	-10.0%	-8.0%	-5.0%	-1.9%	-314bp
Richemont*	6.0%	14.0%	11.0%	13.0%	13.1%	11.2%	189bp
Richemont - JM*	11.0%	17.0%	14.0%	16.0%	16.0%	13.1%	290bp
Hermes	9.0%	9.6%	9.8%	5.6%	6.4%	6.5%	-13bp
Prada	7.6%	8.5%	9.5%	2.6%	2.8%	n.a.	
Prada - Retail	7.6%	7.6%	9.3%	1.1%	2.6%	n.a.	
Burberry - Retail*	-2.0%	0.1%	3.0%	1.8%	5.2%	4.7%	46bp
Moncler (Group)	-1.0%	-1.0%	7.0%	12.0%	5.0%	5.6%	-63bp
Moncler - DTC	-1.0%	0.0%	7.0%	14.0%	4.5%	5.5%	-106bp
Ferragamo	-12.0%	1.7%	-1.8%	-1.2%	4.7%	4.6%	2bp
Sector	-2.2%	3.4%	3.4%	3.5%	4.7%	4.3%	34bp

*March year-end (Calendarized)

BBG cons. for Prada not fully comparable due to scope effect from Versace

Source: Barclays Research, Bloomberg

FIGURE 3. Consensus currently expects a stronger acceleration in the second half of the year

	BARC	Cons.	vs Cons.	BARC	Cons.	vs Cons.	BARC	Cons.	vs Cons.	BARC	Cons.
	H1-26	H1-26	H1-26	FY-26	FY-26	FY-26	Implied H2	Implied H2	Implied H2	H1 vs H2	H1 vs H2
LVMH	1.8%	1.7%	14bp	3.2%	3.2%	-9bp	4.5%	4.8%	-32bp	266bp	312bp
LVMH - FLG	-0.7%	-0.3%	-46bp	1.4%	1.8%	-33bp	3.7%	3.9%	-19bp	439bp	412bp
Kering	1.1%	1.3%	-23bp	1.3%	2.8%	-149bp	1.6%	4.4%	-279bp	56bp	313bp
Kering - Gucci	-6.6%	-4.9%	-163bp	-3.2%	0.0%	-324bp	0.1%	5.0%	-489bp	670bp	996bp
Richemont*	13.0%	12.1%	94bp	10.2%	9.3%	89bp	7.7%	6.9%	84bp	-533bp	-523bp
Richemont - JM*	16.0%	14.6%	145bp	13.3%	11.3%	195bp	10.9%	8.5%	239bp	-511bp	-605bp
Hermes	6.0%	6.1%	-8bp	7.3%	8.0%	-66bp	8.6%	9.9%	-124bp	265bp	382bp
Prada	2.7%	n.a.		3.4%	n.a.		4.0%			133bp	
Prada - Retail	1.9%	n.a.		2.8%	n.a.		3.7%			180bp	
Burberry - Retail*	3.3%	3.3%	4bp	5.1%	4.8%	30bp	6.7%	6.2%	53bp	339bp	290bp
Moncler	9.7%	8.8%	92bp	8.2%	8.0%	20bp	7.2%	7.5%	-27bp	-248bp	-128bp
Moncler Brand - DTC	11.3%	9.8%	151bp	9.8%	9.2%	60bp	8.9%	8.8%	6bp	-239bp	-95bp
Ferragamo	2.1%	1.7%	40bp	2.8%	2.6%	27bp	3.5%	3.4%	16bp	142bp	165bp
Sector	4.1%	3.9%	16bp	4.6%	4.8%	-19bp	5.2%	5.7%	-55bp	111bp	182bp

*March year-end (Calendarized)

BBG cons. for Prada not fully comparable due to scope effect from Versace

Source: Barclays Research, Bloomberg

Preview library

Moncler: Q2-26 Preview: Expecting weaker Q2 growth, Carole Madjo, [Link](#)Hermes: 2Q26 Preview: Expecting Q2 growth at 6.4%, Viktoria Petrova, [Link](#)Burberry: Q1-27 preview: Expected retail comps at +5%, Carole Madjo, [Link](#)Salvatore Ferragamo: Q2-26 preview: Expecting 5% growth in Q2, Carole Madjo, [Link](#)PRADA: Q2-26 preview: Expecting +3% organic growth, Carole Madjo, [Link](#)

Swatch: H1-26 preview: Expecting positive growth to stay in H1, Carole Madjo, [Link](#)

LVMH: 2Q26 Preview: Expecting FLG at 0.7%, Viktoria Petrova, [Link](#)

Kering: 2Q26 preview: We expect -3% OG for Gucci in FY 26, Viktoria Petrova, [Link](#)

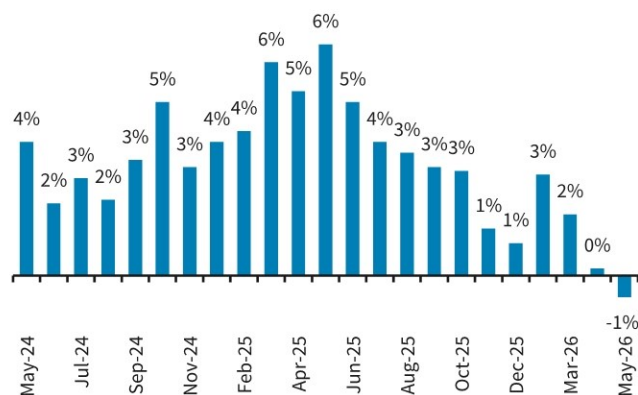
Richemont: 1Q27 preview: Expecting Jewellery Maisons at 16%, Viktoria Petrova, [Link](#)

What is the data telling us on 2Q so far?

Looking at the data points on 2Q26 published so far, what emerges is a mixed picture across regions, with Korea and the US continuing to accelerate, while ME and domestic Chinese consumption look set to decelerate.

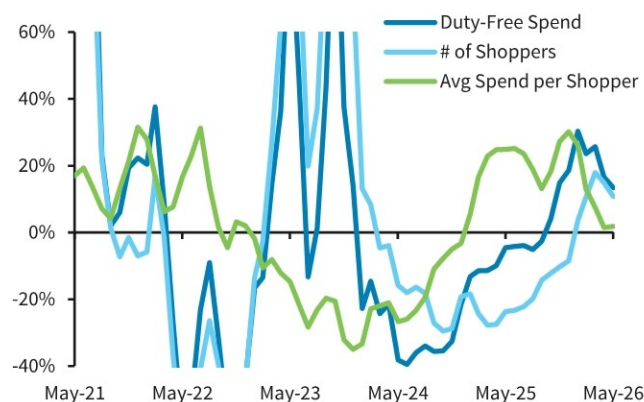
In Asia, we note a sequential slowdown in May on a number of indicators of domestic Chinese consumption, continuing the sequential slowdown we observed already in April. Chinese retail sales further decelerated into negative territory at -0.6% y/y in May, posting the first negative print in two years. By category, Jewellery retail sales in China remained strongly negative in May, down -8.6% y/y, as we were expecting, given the tariff-disrupted comps, but bounced back in HK. Hainan duty-free sales also slowed down to 0.4% y/y, and Macau gross gaming revenue for June fell into properly negative territory, down -12% y/y.

FIGURE 4. Retail sales in China entered negative y/y territory in May...



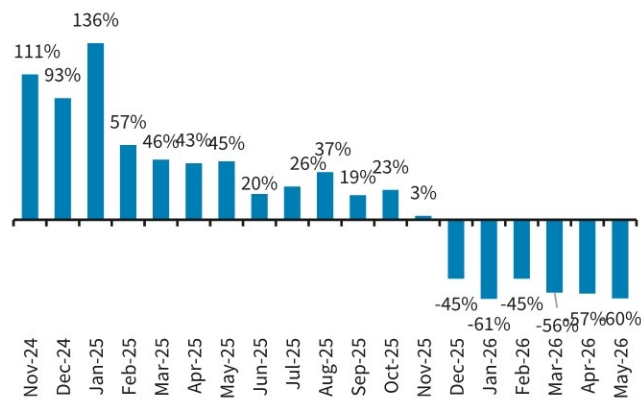
Chinese Retail Sales - % y/y change
Source: NBS

FIGURE 5. ... and Hainan duty-free sales continued to slow down

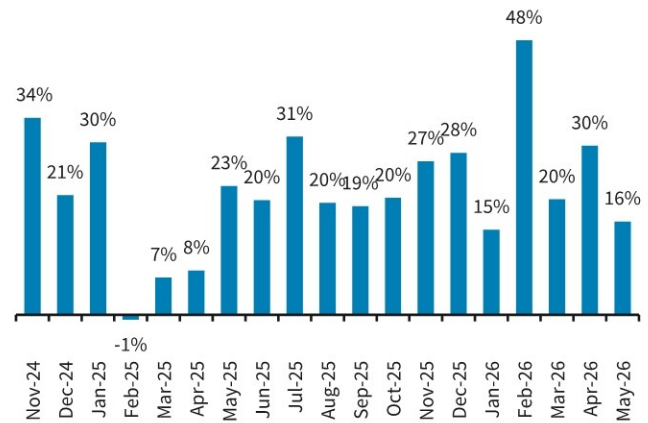


Hainan Duty-Free Sales - % y/y change (3m rolling sum)
Source: Haikou Customs

Part of this slowdown could be due to Chinese spending abroad in neighbouring Asian countries, notably Korea, where inbound Chinese tourists remained up 16% y/y in May. Japan, on the other hand, is unlikely to have benefited from Chinese offshore spending, as the y/y growth of inbound Chinese tourists has been falling 50 to 60% y/y for the past six months.

FIGURE 6. Chinese tourists into Japan remain negative, as they annualise tough comps...

Inbound Chinese tourists into Japan - % y/y change
Source: JNTO

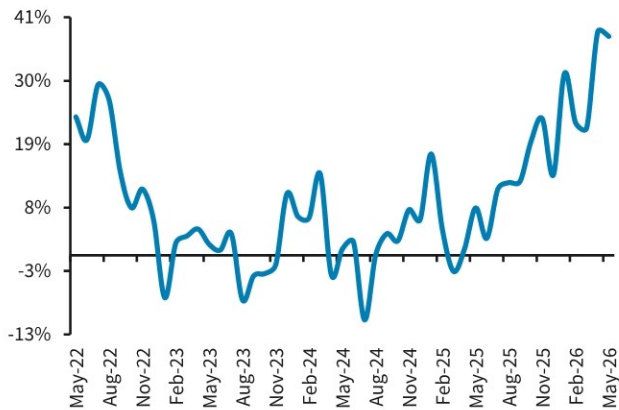
FIGURE 7. ...but they continue to travel to Korea, contributing to spending in the country

Inbound Chinese tourists into Korea - % y/y change
Source: KTO

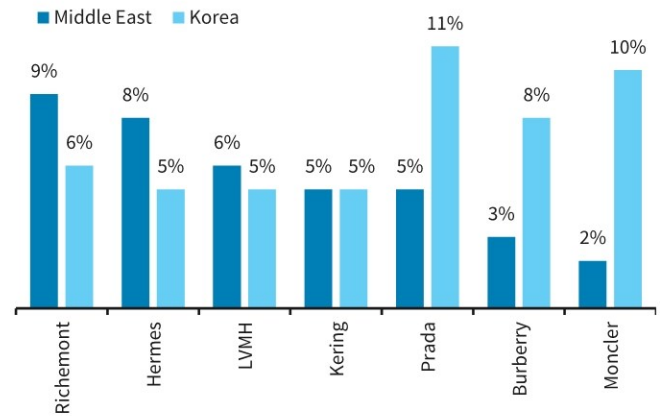
Korea's strength continues to be a popular topic with investors. As a reminder, we estimate that Korea accounts for 5-10% of sales depending on the company, with some (Moncler, Prada) more exposed than others. Korean department store sales for Luxury remained strong in May up 37% y/y, in line with April and above the last two years. This echoed company comments around continued strength in Korea, as well as indications from an expert call we recently hosted, which flagged significant sequential acceleration in Q2 and an outperformance of jewellery brands.

A recurring question in our conversations with investors was whether a sequential acceleration in Korea could be offset by a sequentially weaker Middle East, with the whole of Q2 being affected vs only March (albeit to a much greater extent) in Q1. The first aspect we would point out is that the answer will clearly differ company by company, based on exposures. Given the ME skew at Richemont and Hermes, a deceleration could be felt harder vs Prada or Moncler, which skew to Korea.

A second aspect relates to the sequential dynamics. While ME is arguably sequentially tougher for all players, the sequential acceleration in Korea might have different magnitudes depending on how strong the region was in Q1 already. We think, for example, that Moncler was already very strong in Q1 in Korea, being a key market for them, and would thus err on the cautious side vs the impact that would be implied by the delta in exposures. Similarly, we believe that Richemont will experience a larger sequential improvement in the country, more than offsetting the ME deceleration despite the delta in exposures.

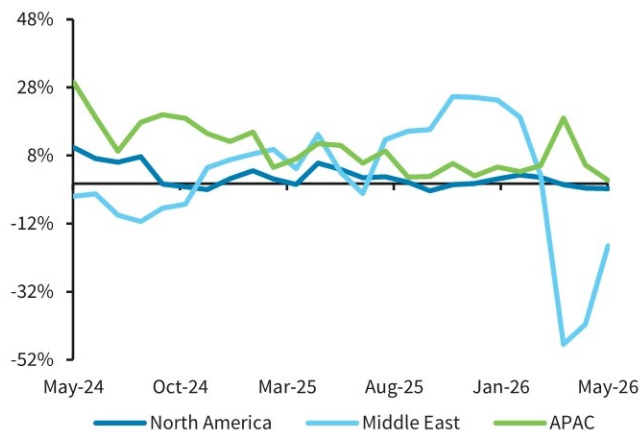
FIGURE 8. Luxury consumption in Korea remains strong...

Korean Department Store Sales, Luxury - % y/y change
Source: MOTIE

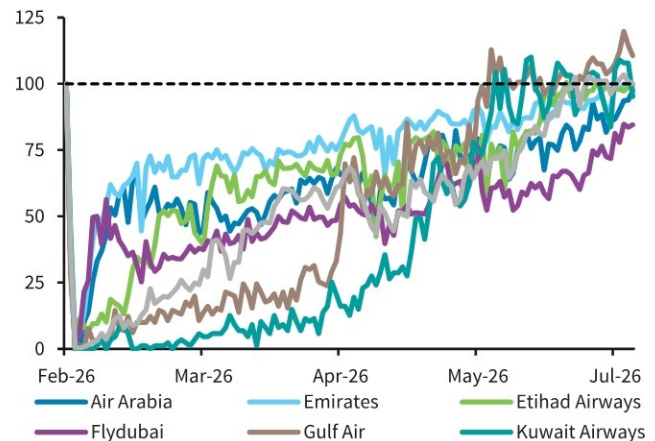
FIGURE 9. ...benefiting companies with higher exposure to the country

% of sales - ME vs Korea (cohort)
Source: Company Data, Barclays Research Estimates

Taking a closer look at the Middle East, we think that Q2 will be sequentially weaker vs Q1. While March was arguably the worst month for the cohort YTD, January and February were months of strong growth, likely well above the growth registered in April, May and June. At the same time, we would flag that offshore activity seems to have inflected in May, with passenger traffic into major European airports improving (and we expect a further improvement in June).

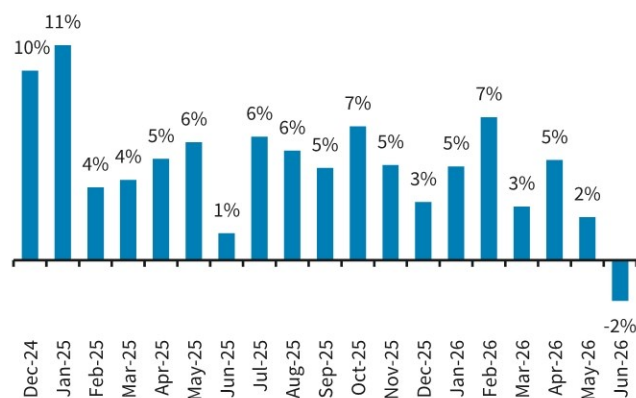
FIGURE 10. Traffic with the Middle East in Paris Airports has improved in May...

Passenger traffic through ADP - % y/y change
Source: Aéroport de Paris (ADP)

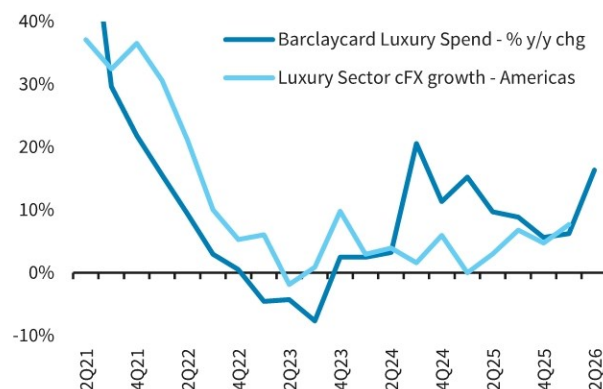
FIGURE 11. ...and traffic at major Gulf airlines is now back to pre-conflict levels.

Passenger traffic - rebased (first 2w of Feb average=100)
Source: FlightRadar24

In addition to Korea, we note that a sequential acceleration with the US consumer could also contribute to offsetting any sequentially tougher headwinds from the Middle East. While we note that American tourists into Europe turned negative y/y in June, US Barclaycard data on luxury spending remained strong. Despite June slowing down to 8% vs April at 24% and May at 17%, Q2 as a whole has significantly accelerated vs Q1 on our proprietary US Barclaycard data.

FIGURE 12. American tourists into Europe fell into negative territory in June...

American tourists into Europe - % y/y change
Source: IATA

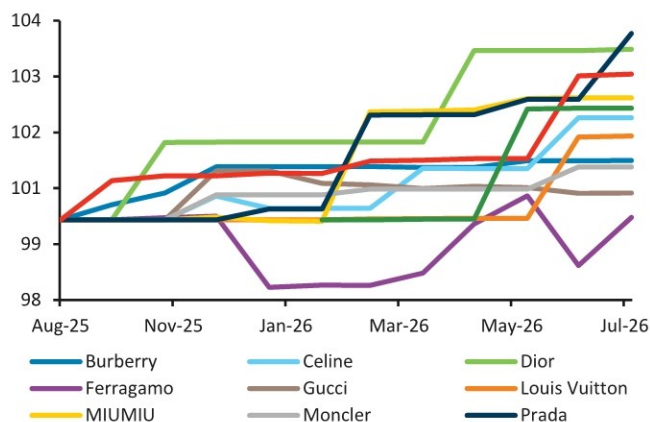
FIGURE 13. ...but domestic spending in the US looks set to remain resilient.

US Barclaycard Luxury Spending vs Sector cFX growth
Source: Company Data, Barclaycard

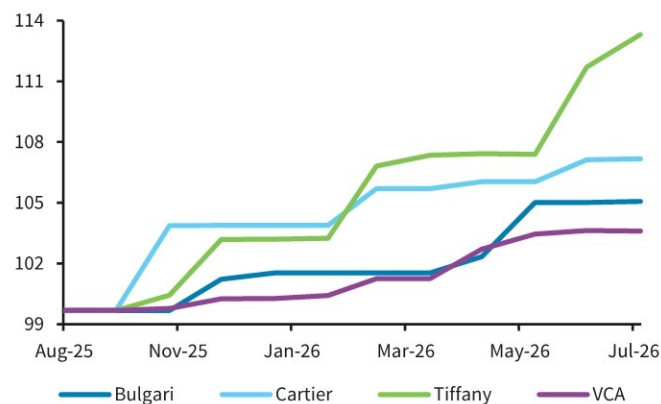
What are we keeping our eyes on?

Price increases in the medium term

Following a number of sizeable global price increases between May and June, notably at Cartier watches, Tiffany, LV and Saint Laurent, our tracker did not flag any significant increases in June-July. We would note a small 1% global increase at Prada and a 2% one at Vacheron Constantin, along with regional FX rebalancing at Tiffany, Omega and Ferragamo.

FIGURE 14. Soft luxury brands mostly kept their pricing flat between June and July...

Price increases by brand, rebased to Aug-25
Source: Barclays Research

FIGURE 15. ...and so did jewellery brands

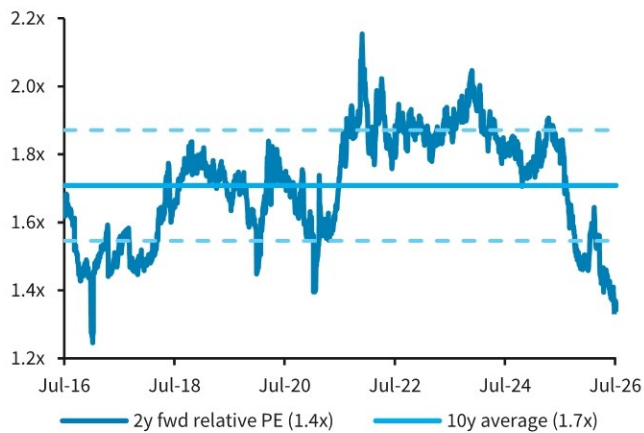
Price increases by brand, rebased to Aug-25
Source: Barclays Research

While we monitor price increases at all brands on a monthly basis, we are keeping an especially close eye on Jewellery brands, which have increased prices at a much faster pace than soft luxury brands over the last year. While we think that this was likely driven by the rise in the gold price, which increased the perceived value of gold jewellery to the eyes of the consumer, excessive price taking from jewellery brands could erode the relative value attractiveness that jewellery has acquired since Covid, and could hinder the jewellery supercycle we are currently witnessing.

Relative valuations

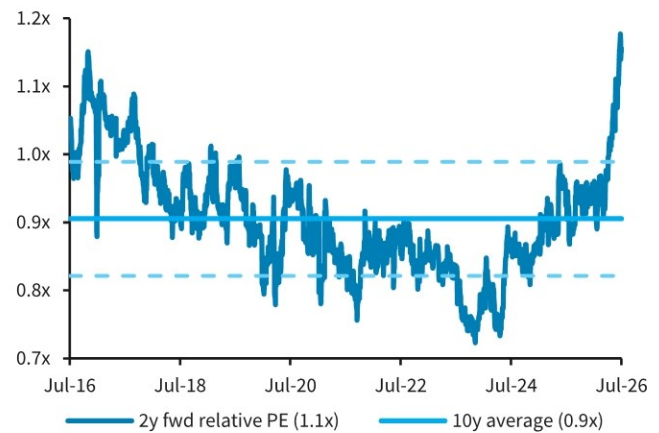
As already flagged in last month's edition, we continue to monitor the relative valuations of Hermes and Richemont, which have continued to diverge. When benchmarked against our coverage, Richemont has never been more expensive over the last ten years. The opposite is true for Hermes, which, excluding a short-lived dip in 2016, has never been cheaper relative to the sector over the last ten years (and on an absolute basis is the cheapest it's ever been over the same period).

FIGURE 16. Hermes is now trading at relative multiples unseen since pre-Covid



2y fwd PE vs BARC Coverage
Source: Bloomberg, Barclays Research

FIGURE 17. Richemont is becoming less and less cheap relative to the rest of the sector



2y fwd PE vs BARC Coverage
Source: Bloomberg, Barclays Research

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Materially Mentioned Stocks (Ticker, Date, Price)

Burberry (BRBY.L, 09-Jul-2026, GBP 10.76), Overweight/Neutral, CD/J

Hermes (HRMS.PA, 09-Jul-2026, EUR 1624.50), Equal Weight/Neutral, FA/J/K/N

LVMH (LVMH.PA, 09-Jul-2026, EUR 492.95), Overweight/Neutral, CD/FA/J/K/M/N

Moncler (MONC.MI, 09-Jul-2026, EUR 49.60), Overweight/Neutral, E/J/K/L/M/N

Mulberry (MUL.L, 09-Jul-2026, GBP 1.36), Equal Weight/Neutral, J

Richemont (CFR.S, 09-Jul-2026, CHF 184.00), Overweight/Neutral, FA/J/K/N

Salvatore Ferragamo (SFER.MI, 09-Jul-2026, EUR 10.00), Underweight/Neutral, J/K/N

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European Luxury Goods & Specialty Retail

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Mulberry (MUL.L)	PRADA (1913.HK)	Puma SE (PUMG.DE)
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